

easy money off him. Delaying payments was one way of making his brokers earn their keep. Often, he would offer shares instead of cash as collateral towards margin payment. Instead of paying Rs 100 as margin money to the broker (which the broker had to deposit with the stock exchange), Harshad would give the broker shares worth Rs 100. If a broker should demur, he would talk tough or turn on his charm, depending on the person he was dealing with.

When the offer was made to me I was tempted to take it up. And, while I had not been in touch with Harshad for a long time, our relations were still cordial. Still, I was a bit miffed at his reaching out to me through his confidant instead of picking up the phone and talking to me directly. I gave the offer some thought and finally decided to turn it down. For one, I knew that the authorities would be keeping a hawk's eye on Harshad this time around and do everything in their power to ensure that he did not become the force he was in 1992. That was the last time I heard from Harshad.

The Sensex was on a tear in April, and so were shares of BPL, Videocon and Sterlite. Brokers who had signed up with Harshad were making money hand over fist, much to the envy of those who were not part of that circle. The party on Dalal Street would have continued for some more time but for the government's decision to carry out nuclear tests at Pokhran, which caught investors off guard.

Even before the government could finish savouring the public adulation for its feat, India was hit with economic sanctions. From the market's perspective, it meant two things; FII money coming into India would dry up, and our companies would find it difficult to raise capital globally.

Oddly, even as the overall market was in a downtrend, shares of BPL, Videocon and Sterlite continued to rise, thanks to relentless purchases by the Big Bull and his syndicate of brokers. Regularly, trading in the three stocks would be frozen for want of sellers. It was an open secret that Harshad was the driving force behind the spectacular surge in their prices. There was speculation that he may have once again managed to tap into the coffers of some government banks for his stock market operations. But Harshad was smart enough not to go anywhere near a bank this time. Instead, he got the promoters of the companies to bankroll his operations.

By the first week of June, share prices of BPL had nearly trebled from four months ago, and those of Sterlite and Videocon had almost doubled. In